HANGS Construction · October 2026 Bank Reconciliation

HANGS Construction Development LP · Cobalt Harbor Bank, account ending 4417 · GL 1010. DRAFT memo from the F1 Finance Accounting Machine. Unsigned. Invented demonstration data. A person reviews and decides every item; the machine never posts an entry.

The account reconciles to the cent: the adjusted bank and book balances are both **$1,029,176.48**. 5 items stay open: 3 proposed entries that change the books by $70.47 net, and 2 items to follow up. Nothing has been posted.

Balance per bank, October 31	$1,045,374.13
Add: deposits in transit	$25,000.00
Less: outstanding checks	-$41,197.65
Adjusted bank balance	**$1,029,176.48**
Balance per books, GL 1010, October 31	$1,029,106.01
Less: bank charges not booked	-$115.00
Add: interest credited, not booked	$212.47
Less: checks that cleared for more than recorded	-$27.00
Adjusted book balance	**$1,029,176.48**
Unexplained difference	**$0.00**

Opening Balances

The statement opens at $395,509.24 and GL 1010 at $412,306.84, both as on the September reconciliation signed October 8. Of the 4 items it left open, these cleared in October: deposit in transit DEP-0930 (10/01), outstanding check 10412 (10/02), outstanding check 10415 (10/05). Still outstanding: check 10398.

Outstanding Checks

Check	Dated	Payee	Amount
10398	2026-07-22	Windrow Landscape Care	$1,140.00
10434	2026-10-29	Larkspur Survey Instruments	$5,862.15
10435	2026-10-30	Fernhollow Site Services	$14,420.00
10436	2026-10-30	Bluepine Concrete Works	$19,775.50
Total			**$41,197.65**

Book Before Close

Bank Charges Not Booked · $115.00

> *CASH-2 Bank Charges and Interest (Cash Procedures page 3): "Record service charges, wire fees and interest credited by the bank in the month they appear on the statement, from the statement itself."*

The outgoing wire fee of $30.00 on 10/20 and the monthly service charge of $85.00 on 10/31 appear on the statement but not in the register. Book them to 6950 Bank Service Charges in October.

Proposed entry PJ-001, not posted: Bank charges per the October statement

Account	Party	Debit	Credit
6950 Bank Service Charges		$115.00	
1010 Cash - Operating, Cobalt Harbor x4417			$115.00

Interest Not Booked · $212.47

CASH-2 Bank Charges and Interest (Cash Procedures page 3): "Record service charges, wire fees and interest credited by the bank in the month they appear on the statement, from the statement itself."

The bank credited $212.47 of interest on 10/31. The register has no interest entry. Book it to 7100 Interest Income in October.

Proposed entry PJ-002, not posted: Interest credited per the October statement

Account	Party	Debit	Credit
1010 Cash - Operating, Cobalt Harbor x4417		$212.47	
7100 Interest Income			$212.47

Needs a Person

Check 10431 Recorded Short · $27.00

CASH-3 Record What Cleared (Cash Procedures page 3): "When a check or transfer clears for an amount different from the amount recorded, confirm the amount from the check image and the vendor invoice, then correct the books to the amount that cleared if the bank is right."

The bank paid check 10431 to Quarry Bend Plumbing for $7,385.20, and the check image shows $7,385.20. The register has $7,358.20, $27.00 less. A difference that is a multiple of 9 ($27.00 = 9 x $3.00) usually means two digits were transposed when the manual check was entered. Confirm against invoice QBP-3069, then correct the books to the amount that cleared.

Proposed entry PJ-003, not posted: Check 10431 cleared for $7,385.20, recorded as $7,358.20

Account	Party	Debit	Credit
2000 Accounts Payable	Quarry Bend Plumbing	$27.00	
1010 Cash - Operating, Cobalt Harbor x4417			$27.00

Follow Up

Stale Check 10398 · $1,140.00

CASH-4 Stale Checks (Cash Procedures page 4): "A check outstanding more than 90 days is stale. Contact the payee, then void and reissue it or hold it for unclaimed-property review. A stale check is never left outstanding without a note."

Check 10398 for $1,140.00, issued July 22, was outstanding at September 30 and still has not cleared. Past 90 days it is stale: contact Windrow Landscape Care, then void and reissue it or hold it for unclaimed-property review.

Follow-up: Ask Windrow Landscape Care whether check 10398 was received (AP clerk). Status: Open.

Deposit DEP-1031 in Transit · $25,000.00

CASH-5 Deposits in Transit (Cash Procedures page 4): "A deposit recorded on the last business day may be in transit at month-end. It must clear within five business days of the statement date; one that does not is investigated."

The register records $25,000.00 (Earnest money, Pad 22, Phase 5) on October 31; the bank has not credited it. A last-day deposit may be in transit. It must clear by November 6; if it does not, investigate.

Follow-up: Confirm DEP-1031 clears by November 6 (Cash clerk). Status: Open.

Open Items and Sign-Off

Every item above stays open until a person accepts it or overrides it with a reason. The proposed entries are posted only after the Controller reviews and signs this reconciliation (CASH-6). Nothing has been posted. This memo is not a sign-off.

Prepared by: F1 Finance Accounting Machine (draft, unsigned)
Reviewed and signed by: _____ Controller · Date: _____